

AUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

I STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2015	Bank		Group Consolidated	
	31.12.2014 Audited (Ksh'000)	31.12.2015 Audited (Ksh'000)	31.12.2014 Audited (Ksh'000)	31.12.2015 Audited (Ksh'000)
A. ASSETS				
1 Cash balances (both local and foreign)	285,753	322,997	285,753	322,997
2 Balances due from Central Bank of Kenya	2,756,198	4,126,559	2,756,198	4,126,559
3 Kenya Government and other securities held for dealing purposes	-	-	-	-
4 Financial Assets at fair value through profit and loss	-	-	-	-
5 Investment Securities:	-	-	-	-
a) Held to Maturity:	-	1,571,403	-	1,571,403
a. Kenya Government securities	-	1,571,403	-	1,571,403
b. Other securities	-	-	-	-
b) Available for sale:	264,331	579,578	264,331	579,578
a. Kenya Government securities	264,331	579,578	264,331	579,578
b. Other securities	-	-	-	-
6 Deposits and balances due from local banking institutions	7,616,243	4,909,600	7,616,256	4,909,600
7 Deposits and balances due from banking institutions abroad	967,266	608,070	967,266	608,070
8 Tax recoverable	4,315	-	14,260	13,421
9 Loans and advances to customers (net)	45,243,539	53,021,022	45,243,539	53,021,022
10 Balances due from banking institutions in the group	-	-	-	-
11 Investments in associates	-	-	-	-
12 Investments in subsidiary companies	255,120	-	-	-
13 Investment in Joint ventures	172,549	255,561	172,549	1,080,213
14 Investment properties	-	-	314,347	1,319,204
15 Property and equipment	1,282,081	1,339,222	1,282,252	1,341,930
16 Prepaid operating lease rentals	39,860	39,398	46,038	45,396
17 Intangible assets	521,114	818,733	521,114	819,147
18 Deferred tax asset	445,431	584,879	446,455	576,351
19 Retirement benefit asset	-	-	-	-
20 Other assets	637,034	631,632	1,031,322	1,324,543
21 TOTAL ASSETS	60,490,833	68,808,654	60,961,680	71,659,434
B. LIABILITIES				
22 Balances due to Central Bank of Kenya	-	-	-	-
23 Customer deposits	36,310,472	41,887,526	36,105,929	41,665,085
24 Deposits and balances due to local banking institutions	-	-	-	-
25 Deposits and balances due to foreign banking institutions	-	-	-	-
26 Other money market deposits	-	-	-	-
27 Borrowed funds	16,996,112	17,465,953	17,143,112	18,540,375
28 Balances due to banking institutions in the group	-	-	-	-
29 Tax payable	-	10,722	-	110,068
30 Dividends payable	46,307	-	46,307	63,949
31 Deferred tax liability	-	-	-	43
32 Retirement benefit liability	-	-	-	-
33 Other liabilities	861,909	354,499	1,107,450	657,273
34 TOTAL LIABILITIES	54,214,800	59,718,700	54,402,798	61,036,793
C. SHAREHOLDERS' FUNDS				
35 Paid up /Assigned capital	1,157,900	5,000,000	1,157,900	1,744,483
36 Share premium/(discount)	1,557,073	3,513,662	1,557,073	4,339,712
37 Revaluation reserves	701,568	-	701,568	701,463
38 Retained earnings/Accumulated losses	2,616,280	165,918	2,899,130	3,225,082
39 Statutory loan loss reserves	64,021	393,046	64,021	393,046
40 Other Reserves	(45,245)	(33,422)	(45,245)	(58,678)
41 Proposed dividends	173,685	-	173,685	226,783
42 Capital grants	50,750	50,750	50,750	50,750
43 TOTAL SHAREHOLDERS' FUNDS	6,276,033	9,089,954	6,558,882	10,622,641
44 TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	60,490,833	68,808,654	60,961,680	71,659,434

II STATEMENT OF COMPREHENSIVE INCOME FOR THE PERIOD ENDED 31 DECEMBER 2015	Bank			Group Consolidated		
	01.01.2014 to 31.12.2014 Audited (Ksh'000)	01.01.2015 to 02.08.2015 Audited (Ksh'000)	03.08.2015 to 31.12.2015 Audited (Ksh'000)	01.01.2015 to 31.12.2015 Total (Ksh'000)	01.01.2014 to 31.12.2014 Audited (Ksh'000)	01.01.2015 to 02.08.2015 Audited (Ksh'000)
1 INTEREST INCOME						
1.1 Loans and advances	5,814,279	4,000,764	3,217,505	7,218,269	5,814,833	7,218,269
1.2 Government securities	36,014	24,300	98,655	122,955	36,014	122,955
1.3 Deposits and placements with banking institutions	523,935	408,609	350,281	758,890	523,935	756,912
1.4 Other Interest Income	-	-	-	-	-	-
1.5 Total interest income	6,374,228	4,433,673	3,666,441	8,100,114	6,374,782	8,098,136
2 INTEREST EXPENSES						
2.1 Customer deposits	1,882,732	1,436,736	1,454,965	2,891,701	1,867,321	2,857,720
2.2 Deposits and placement from banking institutions	-	-	-	-	-	-
2.3 Other interest expenses	1,473,482	951,347	675,486	1,626,833	1,473,482	1,628,462
2.4 Total interest expenses	3,356,214	2,388,083	2,130,451	4,518,534	3,340,803	4,486,182
3 NET INTEREST INCOME/(LOSS)	3,018,014	2,045,590	1,535,990	3,581,580	3,033,979	3,611,954
4 OTHER OPERATING INCOME						
4.1 Fees and commissions on loans and advances	232,497	118,947	72,731	191,678	232,497	191,678
4.2 Other fees and commissions	79,576	62,398	44,138	106,536	134,542	151,008
4.3 Foreign exchange trading income/(Loss)	17,803	68,181	(8,222)	59,959	17,803	59,959
4.4 Dividend Income	2,375	200,000	-	200,000	2,375	-
4.5 Other income	179,564	39,181	83,207	122,388	455,478	768,444
4.6 Total Non-interest income	511,814	488,707	191,854	680,561	842,695	1,171,089
5 TOTAL OPERATING INCOME	3,529,828	2,534,297	1,727,844	4,262,141	3,876,674	4,783,043
6 OPERATING EXPENSES						
6.1 Loan loss provision	551,219	332,153	171,618	503,771	551,219	503,771
6.2 Staff costs	965,412	593,277	410,915	1,004,192	976,430	1,098,664
6.3 Directors' emoluments	14,262	12,399	6,347	18,746	23,262	19,630
6.4 Rental charges	31,289	30,629	30,864	61,493	34,359	61,493
6.5 Depreciation charge on property and equipment	77,539	53,815	39,674	93,489	77,845	93,924
6.6 Amortisation charges	12,710	6,774	3,965	10,739	12,710	10,799
6.7 Other operating expenses	592,594	459,745	373,065	832,810	781,944	1,324,256
6.8 Total Other Operating Expenses	2,245,025	1,488,792	1,036,448	2,525,240	2,457,769	3,112,537
7 Profit/(loss) before tax and exceptional items	1,284,803	1,045,505	691,396	1,736,901	1,418,904	1,670,506
8 Exceptional items	(18,251)	28,468	54,544	83,012	(18,251)	83,012
9 Profit/(loss) after exceptional items	1,266,552	1,073,973	745,940	1,819,913	1,400,653	1,753,518
10 Current tax	(546,261)	(308,167)	(312,097)	(620,264)	(576,027)	(684,242)
11 Deferred tax	149,849	-	125,121	125,121	150,710	127,693
12 Profit/(loss) after tax and exceptional items	870,140	765,806	558,964	1,324,770	975,336	1,196,969
13 Other Comprehensive Income						
13.1 Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	-
13.2 Fair value changes in available for sale financial assets	(85,151)	28,556	(47,746)	(19,190)	(85,151)	(19,190)
13.3 Revaluation surplus on Property,plant and equipment	226,161	-	-	-	226,161	-
13.4 Share of other comprehensive income of associates	-	-	-	-	-	-
13.5 Income tax relating to components of other comprehensive income	(17,533)	(8,567)	14,324	5,757	(17,533)	5,757
14 Other Comprehensive Income for the year net of tax	123,477	19,989	(33,422)	(13,433)	123,477	(13,433)
15 Total comprehensive income for the year	993,617	785,795	525,542	1,311,337	1,098,813	1,183,536
Earnings per share	3.76	3.76	-	-	4.21	3.43
Dividend per share	1.50	0.65	-	-	1.50	1.30

III DISCLOSURES AS AT 31 DECEMBER 2015	Bank		Group Consolidated	
	31.12.2014 Audited (Ksh'000)	31.12.2015 Audited (Ksh'000)	31.12.2014 Audited (Ksh'000)	31.12.2015 Audited (Ksh'000)
1 Non-Performing Loans and Advances				
a) Gross non-performing loans and advances	4,163,451	4,097,356	4,163,451	4,097,356
b) Less: Interest in Suspense	202,458	610,211	202,458	610,211
c) Total non-Performing loans and advances (a-b)	3,960,993	3,487,145	3,960,993	3,487,145
d) Less: Loan loss provisions	813,945	992,862	813,945	992,862
e) Net non-performing loans and advances (c-d)	3,147,048	2,494,283	3,147,048	2,494,283
f) Discounted value of securities	3,147,048	2,494,283	3,147,048	2,494,283
g) Net Exposure (e-f)	-	-	-	-
2 Insider loans and advances				
a) Directors, shareholders and associates	430,568	735,933	275,549	735,933
b) Employees	851,725	1,002,120	851,725	1,002,120
c) Total insider Loans and Advances	1,282,293	1,738,053	1,127,274	1,738,053
3 Off-Balance Sheet items				
a) Letters of credit, guarantees and acceptances	74,730	256,256	74,730	256,256
b) Other contingent liabilities	-	-	-	-
c) Total contingent liabilities	74,730	256,256	74,730	256,256
4 Capital Strength				
a) Core capital	4,840,577	8,094,702		
b) Minimum Statutory Capital	1,000,000	1,000,000		
c) Excess/Deficiency	3,840,577	7,094,702		
d) Supplementary capital	1,730,919	1,453,235		
e) Total capital (a+d)	6,571,497	9,547,937		
f) Total risk weighted assets	43,534,183	52,671,912		
g) Core capital /Total deposit liabilities	13.33%	19.32%		
h) Minimum Statutory Ratio	8.00%	8.00%		
i) Excess/Deficiency	5.33%	11.32%		
j) Core capital /Total risk weighted assets	11.12%	15.37%		
k) Minimum Statutory Ratio	8.00%	10.50%		
l) Excess/Deficiency (j-k)	3.12%	4.87%		
m) Total capital /Total risk weighted assets	15.10%	18.13%		
n) Minimum Statutory Ratio	12.00%	14.50%		
o) Excess/Deficiency (m-n)	3.10%	3.63%		
5 Liquidity				
a) Liquidity Ratio	30.76%	28.04%		
b) Minimum Statutory Ratio	20.00%	20.00%		
c) Excess(Deficiency) (a-b)	10.76%	8.04%		



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Transfer of assets and liabilities from HF Group Limited (formerly Housing Finance Company of Kenya Limited (HFCK))

On 2 August 2015, the holding company, HF Group Limited (formerly Housing Finance Company of Kenya Limited), transferred certain assets and liabilities to HFC Limited at book values in exchange for equity in HFC. The agreement to transfer assets was signed by both companies and approved by the Central Bank of Kenya to take effect from 3 August 2015. From 1 January 2015 to 2 August 2015, the banking and mortgage business was undertaken by HF Group Limited (Formerly Housing Finance Company of Kenya Limited) while HFC Ltd (a subsidiary of HF Group Ltd) undertook the banking and mortgage business as from 3 August 2015 after the transfer of certain assets and liabilities to 31 December 2015.

These financial statements are extracts from the books of the institution as audited by KPMG Kenya and received unqualified opinion. The complete set of audited financial statements, statutory and qualitative disclosures can be accessed on the institutions website www.housing.co.ke

They may also be accessed at the institution's head office located at Rehani House, Kenyatta Avenue/Koinange Street, Nairobi after the approval by members at the annual general meeting.

Frank Ireri
Group Managing Director

Steve Mainda
Chairman